Calendar Line 1

Case Name: Freeland v. Momentum for Mental Health (Class Action)
Case No.: 21CV376550

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on August 6, 2025, at 1:30 p.m. in Department 19. The Court now issues its tentative ruling as follows:

I. Introduction

This is a putative class and representative action arising from alleged violations of wage and hour laws. On February 26, 2021, plaintiff Sinora Freeland began this action by filing a Class Action Complaint against defendant Momentum for Mental Health ("Defendant"), asserting causes of action for: (1) unpaid overtime; (2) unpaid meal period premiums; (3) unpaid rest period premiums; (4) unpaid minimum wages; (5) final wages not timely paid; (6) wages not timely paid during employment; (7) non-compliant wage statements; (8) failure to keep requisite payroll records; (9) unreimbursed medical expenses; (10) violation of Business and Professions Code section 17200, *et seq.*

On June 16, 2021, Plaintiff filed a separate action against Defendant in this court (Case No. 21CV384331), asserting a sole cause of action for penalties pursuant to the Private Attorneys General Act ("PAGA).

The parties have reached a settlement, and Plaintiff now moves for preliminary approval of the settlement. The motion is unopposed.

II. Legal Standard for Settlement Agreements

A. Class Action

Generally, "questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court's broad discretion." (*Wershba v. Apple Computer, Inc*. (2001) 91 Cal.App.4th 224, 234-235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

> In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244-245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the "proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.*, citation and internal quotation marks omitted.)

The burden is on the proponent of the settlement to show that it is fair and reasonable. However, "a presumption of fairness exists where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small." (*Wershba, supra*, 91 Cal.App.4th at p. 245, citation omitted.)

B. PAGA

Labor Code section 2699, subdivision (l)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" PAGA. The court's review "ensur[es] that any negotiated resolution is fair to those affected." (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC*

(2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639.)

Like its review of class action settlements, the Court must "determine independently whether a PAGA settlement is fair and reasonable," to protect "the interests of the public and the LWDA in the enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) It must make this assessment "in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws." (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp*. (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 ["when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public …."], quoting LWDA guidance discussed in *O'Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O'Connor*).)

The settlement must be reasonable considering the potential verdict value. (See *O'Connor, supra,* 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-cv-02198-EMC) 2016 WL 5907869, 2016 U.S. Dist. LEXIS 140759, at *20-24.)

II. Discussion

A. Provisions of the Settlement

This case has been settled on behalf of the following class:

> [A]ll current and former non-exempt employees of Defendants in California employed during the Class Period [February 26, 2017, through October 30, 2023].

(Declaration of Helene Mayer ("Mayer Decl."), Ex. 1 ("Agreement"), ¶¶ I.B, I.F.) The settlement includes a subset PAGA Group (or "PAGA Group Members"), defined as: "all current and former non-exempt employees of Defendant in California employed during the PAGA Period [April 2, 2020, through October 30, 2023]." (*Id.* at ¶¶ I.Y, I.BB.)

Defendant will pay a gross settlement amount of $1,750,000, subject to an escalator clause. The gross settlement amount includes attorney fees of up to 35 percent of the gross settlement amount (i.e., $603,750); litigation costs not to exceed $30,000; a PAGA allocation of $400,000 (75 percent of which will be paid to the LWDA and 25 percent of which will be paid to PAGA Employees as individual PAGA payments); a service payment of up to $10,000; and settlement administration costs up to $10,000. The net settlement amount will be distributed to participating class members on a pro-rata basis according to the number of workweeks they were employed by Defendant. Individual PAGA payments will be distributed according to the number of pay periods worked. The Agreement provides that Simpluris Inc. will serve as the neutral entity appointed to administer the settlement. The court approves and appoints Simpluris as the settlement administrator.

The Agreement further provides that any funds from settlement checks remaining uncashed after the void date (180 days after mailing) will be remitted to Mental Health America of California in accordance with Code of Civil Procedure section 384, which mandates that unclaimed or abandoned class members' funds be given to "nonprofit organizations or foundations to support projects that will benefit the class or similarly situated persons, or that promote the law consistent with the objectives and purposes of the underlying cause of action, to child advocacy programs, or to nonprofit organizations providing civil legal services to the indigent." The Court approves of the designated *cy pres* recipient.

In exchange for the settlement, the class members agree to release Defendant and related entities and persons "from all causes of action and factual or legal theories that were alleged in the Operative Complaint, or reasonably could have been alleged based on the facts contained in the Operative Complaint, arising during the Class Period[.]" (Agreement, ¶¶ I.HH, I.JJ.) Aggrieved Employees are deemed to release Defendant and related entities and persons "from all all claims for civil penalties under PAGA that were alleged in the PAGA Complaint, or reasonably could have been alleged based on the facts and legal theories of the PAGA Complaint and/or LWDA Notice, arising during the PAGA Period." (*Id.* at ¶¶ I.II, I.JJ.) The release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

B. Fairness of the Settlement

Plaintiffs contend that the Agreement meets the standards for preliminary approval and that the settlement is fair, reasonable, and adequate. (Motion, pp. 6-11.) Plaintiff's counsel states that the parties participated in mediation with Hon. Amy D. Hogue. (Mayer Decl., ¶ 8.) Prior to mediation, Plaintiff's counsel a thorough investigation on of the claims, including formal discovery. (*Id.* at ¶¶ 6, 25-26.) Plaintiff's counsel prepared for and defended the deposition of Plaintiff. (*Id.* at ¶ 26.) Plaintiff's counsel investigated the applicable law and Plaintiff's claims and Defendant's defenses and submits that the settlement is fair, reasonable, and adequate and in the best interest of the class and PAGA Members. (*Id.* at ¶¶ 27-30.)

The court has reviewed Plaintiff's written submissions and observes that the gross settlement amount of $1,750,000 is a substantial sum. Nevertheless, the estimated size of the class (1,150) is significant, and the Class Period spans over six years. The Court observes that Plaintiff's counsel does not provide an estimate of the value of the class and PAGA claims as part of the analysis presented to the Court in support of Plaintiff's request for settlement approval. As explained by the court in *Kullar*,

> [a]lthough there is usually an initial presumption of fairness when a proposed class settlement was negotiated at arm's length by counsel for the class, a trial court should not give rubber-stamp approval. Rather, to protect the interests of absent class members, the court must independently and objectively analyze the evidence and circumstances before it in order to determine whether the settlement is in the best interests of those whose claims will be extinguished. To make this determination, the factual record before the court must be sufficiently developed.

(*Kullar, supra*, 168 Cal.App.4th at p. 130.) "Our case law imposes strict fiduciary responsibilities on class representatives and class counsel to ensure the litigation proceeds in the best interests of all unnamed class members. [Citations.]" (*Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260, 273.) Where "the settling parties provide essentially no information to explain, much less to substantiate, their evaluation of the magnitude or potential merit of the claims being settled, objectors should not be denied access to data that reasonably may be expected shed light on these issues." (*Kullar*, *supra*, 168 Cal.App.4th at p. 133.) A court reviewing a proposed settlement should "place reliance on the competence and integrity of counsel," but "must also receive enough information about the nature and magnitude of the claims being settled, as well as the impediments to recovery, to make an independent assessment of the reasonableness of the terms to which parties have agreed." (*Ibid.*)

Here, the Court requires additional information from Plaintiff's counsel to make an independent assessment of reasonableness of the Agreement. In accordance with these principles outlined above, the motion shall be CONTINUED, and prior to the continued hearing, Plaintiff's counsel shall provide a supplemental declaration containing information regarding the reasonableness of the settlement and the valuation of the claims for purposes of settlement.

C. Service Award, Fees and Costs

Plaintiff requests a service award of $10,000. (Motion, p. 17:5-22.)

> The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These "incentive awards" to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.) Incentive awards are particularly appropriate where a plaintiff undertakes a significant reputational risk in bringing an action against an employer. (*Covillo v. Specialty's Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29.)

Plaintiff has provided a declaration describing her participation in this action. It does not include an estimate of the number of hours she has spent working on this litigation. Prior to any final approval hearing, Plaintiff shall submit a supplemental declaration providing an estimate of the number of hours she has spent working on this action as well as any other facts she would like to consider regarding her service award request.

The court also has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) Plaintiffs' counsel will seek attorney fees of up to 35 percent of the gross settlement amount (i.e., $603,750). Prior to any final approval hearing, Plaintiffs' counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred and settlement administration costs.

D. Conditional Certification of Class

Plaintiff requests that the class be conditionally certified for purposes of the settlement. Rule 3.769(d) of the California Rules of Court states that "[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing." California Code of Civil Procedure Section 382 authorizes certification of a class "when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court . . .." As interpreted by the California Supreme Court, section 382 requires: (1) an ascertainable class; and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326 (*Sav-On*).)

The "community-of-interest" requirement encompasses three factors: (1) predominant questions of law or fact; (2) class representatives with claims or defenses typical of the class; and, (3) class representatives who can adequately represent the class. (*Sav-On, supra*, 34 Cal.4th at p. 326.) "Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing." (*Linder v. Thrifty Oil Co*. (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield "substantial benefits" to both "the litigants and to the court." (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.) As explained by the California Supreme Court,

> The certification question is essentially a procedural one that does not ask whether an action is legally or factually meritorious. A trial court ruling on a

> certification motion determines whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be advantageous to the judicial process and to the litigants.

(*Sav-On, supra*, 34 Cal.4th at p. 326, internal punctuation and citations omitted.)

Plaintiffs state there are approximately 1,150 class members, who can be identified from a review of Defendant's records. There are common questions regarding whether class members were subjected to common practices that violated wage and hour laws. No issue has been raised regarding the typicality or adequacy of Plaintiff as class representative. Therefore, the court finds that the proposed class may be conditionally certified for settlement purposes.

E. Class Notice

The content of a class notice is subject to court approval. "If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court." (Cal. Rules of Court, rule 3.769(f).) "The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement." (*Ibid.*) In determining the manner of the notice, the court must consider: "(1) The interests of the class; (2) The type of relief requested; (3) The stake of the individual class members; (4) The cost of notifying class members; (5) The resources of the parties; (6) The possible prejudice to class members who do not receive notice; and (7) The res judicata effect on class members." (Cal. Rules of Court, rule 3.766(e).)

Here, the form of the notice is generally adequate. It describes the lawsuit, explains the settlement, and states the settlement amounts, including attorney fees and payment to the named plaintiff. The notice informs class members that they may appear at the final fairness hearing to make an oral objection without filing a written objection.

However, section IV.B of the notice informs recipients that they must provide the last Social Security Number along with any request for exclusions, and section IV.C of the notice inform cass members that they must provide the last four digits of their Social Security Number along with any written. These portions of the notice must be modified to remove the requirements of providing any portion of a Social Security Number.

Finally, the court requests that the following language regarding the final approval hearing be added to the notice:

> Class members may appear at the final approval hearing in person or remotely using the Microsoft Teams link for Department 19 (Afternoon Session), and should review the remote appearance instructions beforehand:
>
> https://www.scscourt.org/general_info/ra_teams/video_hearings_teams.shtml
>
> Class members who wish to appear remotely are encouraged to contact class counsel at least three days before the hearing, if possible, so that potential technology or audibility issues can be avoided or minimized.

On the condition that the parties make the above changes to the notice prior to its mailing, the notice is approved.

IV. Conclusion

The motion for preliminary approval of the settlement is CONTINUED for further hearing on October 1, 2025 at 1:30 p.m. in Department 19.

At least 10 days prior to the continued hearing, Plaintiff's counsel shall provide a supplemental declaration further explaining the reasonableness of the settlement and the valuation of the claims.

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

Case Management Conference at 2:30 p.m. is VACATED.

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Calendar Line 2

Case Name: Cancino v. Cotton on USA Inc. (Class Action)
Case No.: 22CV405002

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on August 6, 2025, at 1:30 p.m. in Department 19. The Court now issues its tentative ruling as follows:

I. Introduction

This is a putative class and Private Attorneys General Act ("PAGA") action. Plaintiffs Oscar Cancino and Marcos Mendiola (collectively, "Plaintiffs") allege that Defendant Cotton on USA, Inc. ("Defendant") committed various wage and hour violations.

According to the allegations of the operative Second Amended Complaint ("SAC"), Plaintiffs were formerly employed in hourly paid, non-exempt positions by Defendant, an Australian fast fashion retail company that operates retail clothing stores in numerous countries, including a number in California. (SAC, ¶ 12.) Mr. Cancino was employed as a Sales Associate at the Oxnard, California store from September 2021 through September 2022, and Mr. Mendiola was employed as a Key Holder from August 2023 through December 2023. (*Id.*, ¶¶ 4-5.)

Plaintiffs allege that Defendants failed to: pay all wages owed (including minimum and overtime wages); permit employees to take uninterrupted meal breaks or provide compensation in lieu of a compliant meal break; provide the rest periods to which employees were entitled, or provide compensation in lieu thereof; provide complete and accurate wage statements; maintain accurate and complete payroll records; pay all sick wages owed; timely pay wages owed; provide suitable seating for employees; and reimburse employees for necessary business expenses incurred by them.

Mr. Cancino initiated this action on October 20, 2022 and filed a first amended complaint in February 2023. Plaintiffs filed the operative SAC on January 16, 2025, pursuant to a stipulation and order so as to conform the pleadings with the scope of the settlement reached between the parties. The SAC asserts claims for: (1) unpaid overtime; (2) unpaid